March 1963, China and Pakistan demarcated their border, with Pakistan ceding parts of disputed Jammu and Kashmir—specifically, the Trans-Karakorum Tract—to China. India–Pakistan talks held in 1962 and 1963 went nowhere. A stopover visit by Nehru's successor Lal Bahadur Shastri would be the last visit by an Indian prime minister to Pakistan before the 1980s.

In April 1965, skirmishes began along the non-demarcated border between Sindh and the Rann of Kutch in present-day Gujarat. Two months later an agreement was signed with British mediation. This gave rise to the belief in Pakistan that Kashmir could be settled through international arbitration. Due to a misunderstanding stemming from previous agreements, the Rann of Kutch agreement also left the status of Sir Creek on the Arabian Sea coast unresolved. [120]

It was in these circumstances that Pakistan launched Operation Gibraltar in August 1965. The plan had been approved by Ayub Khan earlier that summer, with the intention of using raiding parties and civil uprisings to bog India down in a guerrilla war in Jammu and Kashmir. Should India widen the conflict, Ayub felt, it would invite international mediation. Meanwhile, a second phase of the operation—called Operation Grand Slam—would involve an armoured thrust toward Akhnoor to cut off Indian supply lines to the Kashmir Valley. Pakistan's seemingly clever plan proved an abject failure. After the infiltration of about 5000 individuals by Pakistan, they found no indigenous uprising in Jammu and Kashmir. The infiltrators were neutralized, and the Indian Army responded with retaliatory attacks against infiltration points across the ceasefire line, capturing the key Haji Pir Pass. [121]

In September, Pakistan launched Operation Grand Slam, which caught India unawares despite advanced knowledge of Pakistan's armoured build-up. On 6 September, after cabinet approval, India launched a counter-offensive across the international boundary towards Lahore, widening the war. Pakistan countered with an armoured thrust that once again caught India off guard, and it survived only because of some luck and ingenuity. Knowing he was outnumbered, Major General Gurbaksh Singh flooded